

WOLKITE UNIVERSITY
SCHOOL OF LAW
EXIT MODEL EXAM 2015

- 1) Which one of the following is **not true** about the object of property rights under the Ethiopian law?
- A. It is not necessary for a good to have an economic value to be property at law.
 - B. Goods under the civil code of Ethiopia should be understood to mean anything capable of human appropriation whether it is tangible or intangible
 - C. Anything whose source is not traced back to the labor, capital, creativity and enterprise of individual citizen or associations which enjoy juridical personality is not recognized as property rights under the Ethiopian property law**
 - D. None.
- 2) One of the following statements is **true** about the concept of ownership
- A. Ownership is an absolute right and it is not subjected to limitation of any form
 - B. It may be the case that persons having subordinate rights on a particular object may exclude the owner of such object**
 - C. Ownership is always perpetual in nature
 - D. Ownership may in no cases be dismembered
- 3) Which statement is **true** about the scope of the law of property
- A. The law of property governs all a person's legal rights, of whatever description.
 - B. All proprietary rights as opposed to personal rights are the object of the law of property
 - C. The law of property is the law of proprietary rights in rem, the law of proprietary rights in personnem being distinguished from it as the law of obligations.**
 - D. None.
- 4) Which statement is **true** about possession under the Ethiopian laws?
- A. A person may have possession of an object without physically controlling the object.**
 - B. A person may not possess an immovable property as it is impossible to have physical control of the immovable.

- C. The law of possession does not apply to incorporeal things
 - D. Possession may not be transferred without the actual handing over of a thing
- 5) Identify **correct** statement about expropriation under the current constitutional order.
- A. **Public interest/purpose is defined in terms of direct or indirect benefit derived from use** of a property.
 - B. Courts are not allowed to review whether the public purpose requirement is satisfied.
 - C. Compensation decided by experts cannot be reviewed by courts.
 - D. The measure of compensation for private property in expropriation of land holding is market value.
 - E. C&D.
- 6) One of the followings is **not true** about classification of goods in movable and immovable
- A. **The classification of objects in to movable and immovable is purely a matter of policy choice adopted by the state**
 - B. Goods are classified in movable and immovable according to their importance to the community
 - C. The FDRE Constitution relegates the categorization of things in to movable and immovable to secondary importance
 - D. The legal rules governing property under the Ethiopian civil code reflect the division of things in movable and immovable
- 7) Mr. A is a military commander. Mr. B, a man of integrity is a public servant heading procurement department. Mr. B's office floated a bid to procure stationery for the office. One of the bidders happened to be Mr. A's friend. Mr. A called Mr. B and told him to allot the bid to his friend. Mr. B feared what could happen to him and declared Mr. A's friend winner. Based on this fact:
- A. Mr. B can escape fault based extra-contractual liability invoking superior order.
 - B. Mr. B cannot escape liability because there is no hierarchical relationship between Mr. A and B.
 - C. Mr. A will be subjected to fault based liability and cannot get any mitigation on quantum of compensation.

D. A and B are answers

E. B and C are answers

8) in establishing a fault based liability according to article 2030

A. The mental status of defendant is considered to establish liability.

B. Reasonable man is the standard to assess the conduct of any defendant.

C. A personal circumstances, exposures and education status are all taken into consideration.

D. Mental status of a defendant is taken into consideration to assess damages.

E. All of the above are answers

9) Danny and Richo were running to catch a bus. Danny stumbled on Richo's feet. She wants to sue for physical assault under article 2038. Which elements have to be fulfilled to establish her case?

A. Intention of the defendant

B. Physical contact

C. Negligence of the defendant

D. That the contact is done without the consent of the plaintiff

E. All except C

F. All of the above

10) Mr. A, an individual with a big chunk of followers on Facebook, is known for posting financial and personal information he claims to be secrets of government officials. He believes that his informants give him true information. On a certain day he posted a false information about one high-ranking government official. This time, that government official sued him for tarnishing his reputation. What are the possible defenses?

A. He can claim that he had no intent to injure the official.

B. He can claim that he has public interest in mind, thus, his posts get protection according to freedom of speech provisions in the FDRE Constitution.

C. He can retract the post and make another post that he distributed false information.

D. All of the above

11) Among the following identify the correct statement about change of venue and removal of judges?

A. Both the plaintiff and the defendant have unhindered right to request change of venue.

- B. An application claiming change of venue must be instituted to the court hearing the suit by the plaintiff.
- C. Parties claiming to removal of judges may not be forced to state the grounds why they are requesting.
- D. A court change of venue claimed shall order the suit to be entertained by other court which has material jurisdiction.
- E. All

12) Which one of the following is wrong about service of summon and its effect?

- A. A summon sent to an agent appointed by the defendant on rule of general agency is sufficient to establish jurisdiction on the suit.

B. A service of summon sent to an agent in charge of administration an automobile in the suit for recovery of immovable property is sufficient to establish jurisdiction.

- C. A service of summon sent to a manager or an agent carries business work for the defendant who is living in the local limits of the jurisdiction of the court is sufficient to establish jurisdiction upon the defendant.
- D. All of the above
- E. None of the above

13) Which one of the following is correct about third party defendant?

- A. Acceptance of the application of the defendant out rightly makes the third party defendant to be party to the suit.
- B. Third party defendant directly obliged to give his contribution/indemnity to the plaintiff.

C. The defendant can withdraw the third party defendant from the suit at all.

- D. There are no procedural rules the third party defendant to present his defence against the plaintiff directly.
- E. None of the above

- 14) The court is hearing evidences in the suit between the plaintiff Mr. A and the defendant Mr.B. However, Mr.X who has an interest on the case instituted his application of intervention. What will be the order of the court?
- A. Without staying the proceeding shall allow the intervention
 - B. Order the intervening party to institute an independent statement of claim.
 - C. **Order the intervention when separate statement containing all grounds are filled**
 - D. A copy of statement need not served to the parties and the court simply proceeds.
 - E. If the intervention is made before execution, the court shall still consider the application.
- 15) Which one of the following is incorrect about the law of pre-trial hearing in Ethiopia?
- A. It mainly involves examination of parties and not of evidence.
 - B. **It has the major purpose of resolving the issues.**
 - C. It involves ruling on preliminary objections.
 - D. It has the main purpose of framing issues, if any.
 - E. E. It involves appearance of parties
 - F. F. A and B
- 16) Indicate the statement to which you disagree:
- A. Plaintiff always makes its opening statement and produces its evidence before defendant does.
 - B. Only the judge who rendered the judgement is authorized to pronounce it, otherwise the judgement is null and void.
 - C. The court may at any stage recall a witness who has been already examined.
 - D. The application to set-aside a proceeding on grounds of procedural irregularity shall be filed to the appellate court.
 - E. E. All except A and C
 - F. **F. All except C**
- 17) Which one of the following is not a mechanism of review of judgment by court of rendition?
- A. Opposition
 - B. Procedural irregularities.
 - C. **Clerical or arithmetical mistakes in the judgment.**

- D. Discovery of new evidence after rendition of judgment.
- E. All

18) 4. Which one of the statement is true about issues?

- A. Whenever there is a civil suit, it is mandatory for the court to frame an issue or issues.
- B. If a case contains both legal and factual issues, the judge is expected to resolve the factual issues first and then the legal issues.
- C. Issues are framed only by judge under all circumstances.
- D. **There might be circumstances where a decision may be made without framing an issue or issues.**
- E. A civil suit is expected to contain either a legal issues or factual issues.

19) The potential outcomes of an appellate review are:

- A. Variation of the lower court's decision;
- B. Reversal of the lower court's decision;
- C. Referral to the cassation bench if it has basic errors in law.
- D. Confirmation of the lower court's decision;
- E. E. All
- F. **F. All except C**

20) Which one of the following is not included among factors that break chain of causation?

- A. Existence of previous causes
- B. Existence of concurrent causes
- C. **The act of accomplice causes**
- D. Intervention of extraneous causes
- E. E. None

21) According to ----- principle, crimes committed in foreign countries on Ethiopian citizens may be tried in Ethiopia.

- A. Principle of territoriality
- B. **Principle of passive nationality**
- C. Principle of active personality
- D. principle of universality
- E. None

- 22) Which one of the following criminal principle is included in Fetha Negest, as mentioned by Graven?
- A. **intention and negligence**
 - B. money laundry
 - C. Corruption
 - D. all
 - E. none
- 23) Statement one:- According to FDRE criminal code a juridical person except government administrative organs are accountable to all types of crimes. Statement two:- According to FDRE criminal code a juridical person, can participate in crimes as Principal criminal, An instigator or an accomplice.
- A. Both statements are true.
 - B. Both statements are false.
 - C. Only statement one is true.
 - D. **Only statement two is true.**
 - E. None
- 24) One is not among the tests used in identification of the stage of Attempt from preparatory act.
- A. Reasonable Inference test
 - B. **Sine qua non test**
 - C. The commencement of execution test
 - D. Proximity test
 - E. None
- 25) What necessitate the enactment of the 2004 FDRE criminal code?
- A. legal lacuna
 - B. To redefine purpose and objective of the criminal law
 - C. To increase punishment for some offences
 - D. **All of the above**
 - E. only A and B
- 26) One of the following is odd /unique/ from the rest
- A. Acts allowed by law

- B. Acts justifiable by law
- C. **Acts forbidden by law**
- D. Acts commanded by law
- E. None

27) One of the following is not the achievement of the 1957 Penal Code of Ethiopia?

- A. Introducing presumption of innocence
- B. avoiding amputation as a punishment
- C. **avoiding flogging as a punishment**
- D. All of the above
- E. none

28) One of the following is not a drawback of Fetha Negest.

- A. It lacked the systematization and other characteristics of modern codes,
- B. The 'exception' are not clearly differentiated from the 'rule.,
- C. Aggravating and extenuating circumstances were not clearly provided.
- D. **It lack in individualization of punishment.**
- E. all

29) On whom is the burden of proof to satisfy the tribunal that the main reason for the dismissal was potentially lawful?

- A. Employee
- B. **The employer**
- C. Neutral burden of proof
- D. On a balance of probabilities

30) Which one of the following is correct?

- A. **Suspension of contract of employment may be followed by termination**
- B. Government owned business organizations are out of the scope of labor proclamation
- C. Compensation may be paid with reinstatement when the termination is unlawful
- D. Number of employee is the benchmark to determine a dispute as collective and individual labor dispute

31) Which one of the following is false about duration of contract of employment under Labor Proclamation no. 1156/2019?

- A. The main difference between contract of employment for definite and indefinite period is on the ground of termination
- B. The only way of concluding contract of employment for definite period is on the basis of Art-10
- C. **A contract of employment will be terminated on the basis of Art-24/1/ only when it is concluded on the basis of Art-10**
- D. A contract of employment for fixed duration can be a contract for indefinite period, if it was not made in accordance with Art-10

32) One of the following is not related with the difference between Labor Proclamation and Civil Service Proclamation.

- A. Duration of annual leave
- B. **Duration of maternity leave**
- C. Duration of probation period
- D. Duration of paternity leave

33) Which of the following remedies may be available for an employee whose employment contract lawfully terminated but without being given the appropriate notice?

- A. Severance pay
- B. Reinstatement to the work with back pay
- C. Payment in lieu of the salary for the notice period
- D. Compensation for termination of employment
- E. Criminal liability of the employer
- F. **A and C**

34) One among the following is true.

- A. **Employer may employ an employee for definite period on the work which has continuous nature.**
- B. Employer cannot enforce an employee to work more than eight hours a day.
- C. Grounds of suspension of contract of employment can be lawfully expanded by collective agreement.
- D. All

35) Summary dismissal occurs where:

- A. Parties end their contract because of events beyond their control.

B. The employer terminates the contract without notice alleging worker's misconduct.

C. The worker terminates the contract without notice pushed by employer's misconduct.

D. The employer terminates the contract with notice but claims worker's misconduct.

36) Which of the following statements is not true with regards to the nature of human rights?

A. Human rights are universal in a way it cannot give space for cultural differences and that is what the 1993 Vienna declaration provides.

B. Democratic rights guaranteed under article 29 and the following of the FDRE Constitutions are not human rights because they are not inherent to human beings and thus, they are democratic rights.

C. "Human rights are foreign to no culture and native to all nations" this statement describe about the universality of human rights

D. Both the civil and political rights and social, economic and cultural rights can impose a negative duty on state

E. None

F. A&B

G. A&D

37) Which of the following is true about the Ethiopian human rights system?

A. The concept of progressive realization of economic social and cultural rights allows state parties to keep their discriminatory laws unchanged.

B. Under ICCPR, the right to life is non-derogable right. Even though the FDRE constitution does not explicitly recognize the right to life as non-derogable rights, it can be said it is non-derogable as per article 13(2) of the the constitution.

C. The UN Human Rights Council comprises of 47 state parties while human rights committee comprises of independent experts.

D. Ethiopia is a state party to both ICCPR optional protocols

E. E. All

F. A&B

G. B&C

38) What does the UN Charter say about human rights?

A. **It reaffirms faith in fundamental human rights, in the dignity and worth of the human person, in the equal rights of men and women and of nations large and small.**

B. It makes no explicit reference, but mentions that peace and security are linked with individual rights.

C. The UN Charter says that human rights are universal and that all members must respect them fully or action will be taken by the Security Council.

D. All

39) Which of the following binding human rights instruments is praised much for its coverage of the three generations of human rights?

A. The International Covenant on civil and political rights (ICCPR)

B. The Universal Declaration of Human rights (UDHR)

C. The African Charter on human and peoples' Rights (ACHPR)

D. All

E. C&D

40) Among the following lists of human rights which one is not group right?

A. Right to self determination

B. Right to development

C. Right to work

D. Right to environment

41) The enforcement mechanism of the International Covenant on Civil and Political Rights (and Protocol) consists of;...

A. Universal Periodic Review (UPR)

B. Inter-state complaint

C. Individual complaint and country specific rapporteur

D. Periodic reporting mechanisms and individual reporting mechanism

E. E. All

F. B&D

G. A&D

42) Identify the incorrect statement about St. Thomas Aquinas's natural law theory.

A. **It has no relevance in the absence of religion.**

- B. It clearly & expressly instructs that those immoral laws shall not be obeyed at all.
- C. It does not recognize positive law at all.
- D. All
- E. None

43) One of the following philosophers is believed to be the founder of Stoicism.

- A. Seneca
- B. Plato
- C. **Xeno**
- D. Xenophon
- E. Cicero

44) Identify the correct assertion among the following alternatives.

- A. H.L.A Hart praises Austin's views that all laws constitute commands.
- B. **H.L.A. Hart's notion of secondary rules is his insight of law from the stand point of the government.**
- C. H.L.A. Hart holds that law and morality are totally unrelated topics and jurisprudence shall not touch the former.
- D. H.L.A Hart has persistently and expressly denounced natural lawyers such as Blackstone.
- E. All are incorrect

45) Which of the following is true about Hobbes's concept of "Sovereign"?

- A. The sovereign is part of the social contract
- B. The sovereign may not take the lives of its subjects even when it is necessary
- C. The sovereign is not bound by its own laws
- D. The sovereign can be criticized if it fails in guaranteeing its basic duty of ensuring peoples' right to survive
- E. **C& D**

46) Why *Gustave Redbruch* is considered to be "the turning point" in the "revival of natural law" theory?

- A. He is the only 20th C scholar who has formally downplayed the importance of the Positive Law School.
- B. He was the first person that started to question the validity of Positive Law School.

C. **He was initially the proponent of Positive Law School of thought and started to support the “ought to be” aspect of law**

D. B & C

E. None

47) Which of the following is correct about Fuller’s criteria that “Law shall endure undue changes”?

A. This denotes that all laws are eternal

B. It entails those laws shall change for every changing circumstance in society

C. It implies laws must always change when regime changes

D. All

E. **None**

48) Locke’s notion of “Social Contract” differs from that of Hobbes because:

A. It aspires totalitarian state

B. It calls for dictatorial head of government

C. It is merely essential to guarantee people’s right to survive

D. **It envisions to appoint government the power of which shall be limited**

E. All

49) Which of the following best describes the Hobbes’s concept of “State of Nature”?

A. It is built on the basis of repressive state that man has no liberty at all

B. It is characterized by a law giver that does not care for the needs its subjects at all

C. It represents a situation that absolute freedom and equality among people leads to endless state of conflict

D. It signifies a state of uncompromised happiness of people

E. **All**

50) Law of evidence is the body of legal rules mainly enacted to govern ———

A. **The admissibility, credibility, and weight of evidence.**

B. Facts that may not be considered in court.

C. Issues of court proceedings in the production of evidence.

D. Issues of the application of cassation decisions.

E. The procedure of crime investigation by using forensic science.

51) Which one of the following is **not** true about admission?

- A. In principle the courts are required to give judgment on the admitted facts both in civil and criminal cases.
- B. Admission given before the court having jurisdiction over the case is judicial admission and conclusive
- C. confession before investigative police in criminal case is sub categorized under extra-judicial admission and it is not conclusive evidence
- D. **admission before investigative police in criminal case is conclusive and need not be proved**

52) Which of the following is true about character evidenced?

- A. In principle character evidence is relevant in civil cases.
- B. Good character evidence is not relevant in criminal cases.
- C. Bad character evidence is relevant in criminal cases before conviction
- D. **In principle bad character evidence is not relevant in criminal cases unless it became an issue before the court.**

53) Which of the following is true about relevancy of criminal court judgment in civil cases of the same matter in Ethiopia?

- A. **The criminal court judgment that convicts an accused is relevant evidence for civil case.**
- B. The criminal court judgment that acquits an accused must be relevant evidence for civil case.
- C. The criminal court judgment that convicts an accused is not relevant evidence at all for civil case.
- D. The criminal court judgment is not relevant evidence at all for civil case.

54) Which one of the following is *incorrect* about '*self-defense under UNC*'?

- A. Firsthand assessment of the necessities to invoke self-defense belongs to states
- B. The status of anticipatory self-defense is within the realm of UNC is comfortably doubttable
- C. The status of anticipatory self-defense is within the realm of CIL is devoid of doubts
- D. The 'substantive requirements' to trigger art. 51 are more cumbersome than the case of art. 2 (4)

E. Being victim is a prerequisite to exercise the privilege underpinned in art.51

- 55) Which one of the following is **incorrect** on the power of the SC under the UNC?
- A. It has extended power to trigger 'UoF' than the cases of both individual and collective self-defense
 - B. As per its firsthand assessment, it can order the halting of ongoing self-defense**
 - C. While evaluating the fulfilment of art. 51, permanent members of the Council enjoy veto power
 - D. The exercise of its power under art. 39 is reviewable, though without binding force
 - E. In the eyes of SC, contempt of the decision of ICJ could be considered as shaking peace and security
- 56) Which one of the following is **incorrect** about 'Use of Force under PIL (UoF)?
- A. Art. 2 (4) of the UN Charter (i.e. UNC) provides an extensive protection against UoF
 - B. As compared with art. 2 (4), art. 51 of the UNC provides broad protection against UoF**
 - C. Victim States right to have recourse to UoF under art. 51 is very minimal
 - D. Save the case of article 51 and art. 2 (7), the prohibitions of UoF under art. 2(4) are fiat Art. 2 (4) is permissive of economic coercion
- 57) Which one of the following is **correct** concerning the sources of public international law (i.e. PIL)?
- A. The classification between formal and substantive source is at best not slippery
 - B. The way the sources are listed down in descending order depicts existence of hierarchy
 - C. 'Domestic courts' decisions may not fall on the category of formal source
 - D. 'Ex aequo bono' does not deprive national laws the status of formal sources**
 - E. Effect wise as per deeper analysis substantive sources are detached from formal sources
- 58) Which one of the following is **correct** about Vienna Convention on the Law of Treaties (VCLT)?
- A. All of its provisions do not have proactive application**
 - B. Discourages the existence of treaties in tune with 'jus-cogens' norms
 - C. Does not have an application for treaties constituting international organization
 - D. Does not recognizes international treaties made verbally

- E. Discourages the formation of treaties between state/s vis-v-vis other subjects of international law

59) Which one of the following is **incorrect** on the nature of **PIL**?

- A. Vertical hierarchy is anemically to it
- B. Horizontal behaviour is distinguished marker of PIL
- C. Full of decentralized enforcement mechanisms
- D. Coercive sanctions are foreigner to it**
- E. The principal actors are states, though there is a trend to be inclusive of non-state actors

60) Which one of the following is **incorrect** about the UNC and the ICJ Statutes?

- A. Some part of its provision are mandatory against non-member state
- B. It is mandatory for the ICJ to render advisory opinions to the SC/General Assembly when asked for**
- C. Part of its overwhelming power (i.e. art. 24, 25 and 39), the SC is mandated to refer a disputes to ICJ
- D. It is not mandatory for states parties to ICJ Statute to be member to the UNC before lodging a case
- E. Even for matters contained under the UNC, ICJ will not move an inch without consent of states

61) which one of the following is under the exclusive power of the federal government

- A. Employment income
- B. Tax on companies
- C. taxes on imports**
- D. A&B
- E. A&C

62) All but one is wrong about the scope of the Ethiopian income tax.

- A. If a person residing outside Ethiopia generates income from Ethiopian source, he is liable to pay income tax
- B. If a person generates his income outside Ethiopia but resides in Ethiopia, he is not liable to pay income tax**

- C. If a person residing in Ethiopia generates income from Ethiopian source he is liable to pay tax
- D. Taxable persons in Ethiopia pay their income to Ethiopian government on their world wide income
- E. All

63) Based on the definition of persons under the Ethiopian income tax laws, a body includes

- A. Any company under the commercial code or any other foreign laws
- B. Any association of two or more persons
- C. Partnership formed under the commercial code or any other foreign laws

D. All except B

64) All of the following are the main justification of replacing sales tax by VAT except

- A. value added tax avoids tax over tax
- B. value added tax is imposed on a broad base so that it generates adequate revenue for the government
- C. tax leaves little room for evasion
- D. VAT enhances investment

E. None

65) One of the following statements is absolutely true.

- A. There is no difference between taxable activity and taxable transaction for VAT purposes.
- B. A person who carried out a taxable activities above one million at the end of any 12 calendar months is always required to be registered for VAT.
- C. A nonresident person cannot be considered as taxpayer under the Ethiopia VAT laws.
- D. Financial institutions are exempted from VAT.

E. none

66) Which one of the following is a correct combination about the Ethiopian VAT law?

A. consumption type and credit invoice method VAT

- B. income type and credit invoice method VAT
- C. gross type and subtraction method VAT
- D. consumption type and subtraction method VAT
- E. subtraction and credit invoice method VAT

67) Identify the wrong statement about the Ethiopian value added tax.

- A. The VAT law exempts institutions not specific goods and services.
- B. If a specific good becomes both exempted and zero rated, it is considered as exempted.
- C. Regularity and continuity of activity is required for taxable transaction.
- D. Reverse taxation is only applicable for registered customers.
- E. **All.**

68) Identify the **true** statement among the following alternatives.

- A. A person carrying on only exempt activities can be a “taxable person” under the Ethiopia VAT laws.
- B. A taxable person who carries out taxable activity but performs a single taxable transaction in a year can be liable to pay VAT.
- C. In the reverse taxation rule, it is not the service provider who collects the VAT but the consumer (service receiver).

D. B and C

69) Double Taxation

A. is one of direct duplicate taxations wherein two taxes must be imposed on the same subject matter, by the same taxing authority, within the same jurisdiction, during the same period, with the same kind or character of tax.

- B. is forbidden by law; and therefore, it is a valid defense against the validity of a tax measure.
- C. exists when a corporation is assessed with business tax as a manufacturer, and at the same time, value-added tax as a person selling goods in the course of trade or business.
- D. All

70) which one of the following is **not** true about deductible expenses in the income tax laws

- A. donation, bad debts, and interests are examples of condition based deductible expenses.
- B. In rental income tax deductible expenses depends on the category of taxpayers
- C. **The employment income tax law allowed deductible expenses for employment income expenses**

D. All

71) In the VAT proclamation "Body" is defined as “ means any company, registered partnership, entity formed under foreign law resembling a company or registered partnership, or any public enterprise or public financial agency that carries out business activities including body of persons corporate or unincorporated whether created or recognized under a law in force in Ethiopia or elsewhere, and any foreign body's business agent doing business in Ethiopia on behalf of the principal” **whereas** in the Tax administration proclamation Body is defined as “ a company, partnership, public enterprise or public financial agency, or other body of persons whether formed in Ethiopia or elsewhere.” In terms of canon of taxation what is the problem of the first definition (Justification needed).

- A. Canon of economy
- B. **Canon of simplicity**
- C. Canon of elasticity
- D. Canon of productivity

72) in a general partnership, the partners;

- A. have limited liability for the obligations of the partnership
- B. have joint liability for the obligations of the partnership
- C. **have joint and several liability for the obligations of the partnership**
- D. have no liability for the obligations of the partnership

73) Limited liability partnership shares the following characteristics with share company form of business organization

- A. Limited liability for all owners
- B. strong centralized management
- C. two – tier taxation
- D. All of the above characteristics are shared by both forms of organizations
- E. **none of the above are answer**

74) Limited partnership shares the following characteristics with general partnerships:

- A. **Unlimited liability for the general** partner;
- B. The risk of inadvertent formation;
- C. Participatory management;

D. All

75) Which of the following is true about the characteristics of partnership?

A. the liability of members in all cases is unlimited

B. shares can be easily transferred to third parties

C. there is perpetual succession

D. None

76) A lawyer representing an entity such as a share company;

A. also represents its

B. Also represents its manager

C. Both A and B

D. None of all are answer

77) A, B and C form the ABC partnership. As part of their initial agreement, they each contribute 100,000 birr in capital. At the time of formation, C owned a building with some unused office space. A, B and C agree that the partnership will have the use of this office space on a month-to-month basis in exchange for 5000 birr per month paid from the partnership's fund. C is permitted to sell this office building at her election and to keep any profit earned thereupon. **From the given alternatives, which one of the following is correctly stated?**

A. true, even though the building is partnership property

B. true. The building is not partnership property

C. False. The building is partnership property

D. False she is permitted to sell the building, because she has sufficient authority to do so, but she may not retain the profits from the sale for herself.

78) In which of the following cases a company may be dissolved by virtue of law?

A. After lapse of the time mentioned in the memorandum of association.

B. After the purpose that a company was formed is completed.

C. If the purpose for which the company was formed cannot be achieved.

D. All of the above are answers.

79) The concept of limited liability in relation to a company means:

A. the company is liable to a limited extent for its debts and obligations

B. the members are liable to a limited extent for its debts and obligations

- C. when necessary, the company has the right to demand that further capital be contributed by members
- D. if a company goes into liquidation before a member has paid for his shares in full, liability to pay for them ceases at that point

80) Which of the following statement is correct?

- A. Holders of equity securities are creditors of shares in a company.
- B. Holders of debt securities have the status of owners.
- C. Holders of debt securities are remunerated by fixed interest while the income of share holders is dependent on the profitability of the company.
- D. All.

81) The primary stakeholders of a business organization are:

- A. Customers.
- B. Suppliers.
- C. Shareholders.
- D. Creditors

82) Which one of the following is not the function of the board of large public company?

- A. appointment of auditors
- B. monitoring the general manager's performance
- C. managing the day to day operation of the company
- D. the oversight of management in the application of policies and guidelines about the principal risks faced by the company

83) Liability of board of directors may arise when;

- A. the directors intentionally act with a purpose other than that of advancing the best interest of the company.
- B. the directors demonstrate a conscious disregard for his duties
- C. the directors acts with the intent to violate applicable positive laws
- D. The directors intentionally fail to act in the face of known duty to act
- E. All

84) The internal audit function is least effective when the department:

- A. Is non-independent.
- B. Is competent.

- C. Is objective.
- D. Exhibits integrity

85) Joint venture is -----

- A. a partnership having legal personality
- B. a partnership whose partners are active in all business activities
- C. the only business organization which is not legal entity
- D. a partnership having firm name of its partners

86) the most important difference between dissolution and winding up is:

- A. While dissolution results in extinction of company, winding up is starting a new and profitable venture.
- B. While dissolution is an event, winding up is a process.
- C. while dissolution has to be executed by liquidators, winding up has to be performed by members or managers of a company
- D. All of the above are answers

87) Choose the correct coronation

- A. The 1995 FDRE constitution- sovereignty of the people
- B. The 1931 constitution-uni-cameral legislator
- C. The 1955 constitution –constitutional division of power
- D. The 1991 transitional charter- formal adoption of federal system
- E. A&D
- F. **None**

88) Which of the following is/are incorrect about the 1987 constitution?

- A. its objective was to deal with issue of national question
- B. **B. as it was oriented by Lenin- Stalin ideology it recognize the sovereignty of ethnic groups**
- C. the final draft was subject to referendum
- D. none

89) Which one of the following is true about federal supremacy clause under FDRE

- A. is a solution for legislative conflicts between levels of government under FDRE constitution.
- B. FDRE constitution inculcate such principle under article 9
- C. the principle limits power used in execs to constitutional power division by SNUs
- D. all
- D. **none**

- 90) Which one of the following document set secession as a remedial right
- A. FDRE constitution
 - B. The transitional period charter of Ethiopia
 - C. Oromia regional constitution
 - D. All
 - E. All except A**
- 91) Which one of the following is true about the similarities and differences between limitation under article 29(6) and declaration of state of emergency under article 93 from human rights perspective?
- A. The former is about general limitation clause whereas the latter is about claw back limitation clause.
 - B. The former is about suspension while the latter are restriction
 - C. Both are about necessary evils under justified grounds**
 - D. Both envisage that all human rights are suspended or restricted in different situations.
 - E. C&D
- 92) Which of the following is true about framework powers of federal and regional governments
- A. Federal government has legislate basic standards while leaving substantial room to regional governments
 - B. Regional governments have a constitutional space to adapt federal laws based on local priorities.
 - C. Both federal and regional governments have a right to legislate with regards to framework powers
 - D. All**
 - E. None
- 93) One of the following decisions requires super majority under FDRE constitution, except
- A. Appointment of president.
 - B. Approval of a proposed amendment to provisions of FDRE constitution by state council**
 - C. Emergency declaration by federal government.
 - D. Approval of a proposed amendment to provisions of FDRE constitution by federal legislation
 - E. All
 - F. F. None
- 94) Which one of the following right not explicitly recognized as rights of individuals under FDRE constitution?
- A. The right of food

- B. The right of education
- C. The right of health
- D. The right of housing

E. All

F. None

95) Under the Ethiopian Law of Successions, the unworthiness of a person to succeed is NOT related to one of the following.

- A. Intentional killing of the deceased.
- B. Intentional killing of an ascendant of the deceased.
- C. His/her survival on the day of the death of the deceased.**
- D. Intentional killing of a descendant of the deceased.
- E. Tampering with the decision of the deceased to revoke his/her will.

96) What age does a person attain testamentary capacity under the Ethiopian Law of Successions?

- A. 14
- B. 16**
- C. 18
- D. 21
- E. 23

97) All but one of the following is not the function of a liquidator.

- A. Search for a Will of the deceased
- B. Determination of persons who are called to the succession
- C. Determination of the property that constitutes the succession
- D. Administration of the succession
- E. Payment of debts of the succession

F. None

98) If an heir dies shortly after the death of the deceased, which one of the following is true?

- A. His right to succeed shall pass to his co-heirs.
- B. He loses the capacity to succeed.
- C. His right to succeed shall pass to his heirs.**
- D. He will be declared unworthy.
- E. He is considered as failing to meet the survivorship requirement.

99) Succession through representation comes to the picture when _____

- A. The heir appoints an agent according to the law.
- B. The person who is to be called to succeed directly died before the death of the deceased.
- C. The person who is to be called to succeed directly died before the opening of the succession.
- D. B&C.**
- E. All.

100) Which one of the following statements is true about acceptance of succession by heirs?

- A. It can be revoked.
- B. Conditional acceptance is allowed under the law.
- C. An heir may accept a succession through his/her agent.
- D. An heir may tacitly accept the succession.**
- E. Acceptance may be made by the creditors of the heirs.